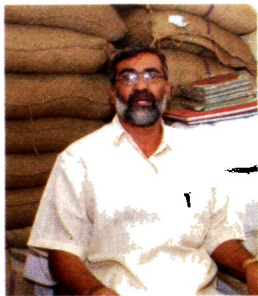




K. SURESH KUMAR Thiruvananthapuram



Profession: Ration Dealer

Approximate monthly income:

Rs 40,000

No. of family members: 6

During Onam, following the Government's order, Kumar issued 15 kg of rice at Rs 5.50 per kg and 1 kg of sugar at Rs 8 to each Below the Poverty Line family. Hoping that the Government would compensate with subsidy, he purchased these commodities at market price. But much to his dismay, the subsidy never came.

"The total pending subsidy amount to be paid to the state's 14,000-odd fair price shops is nearly Rs 100 crore."

"This is the issue of the people and all Opposition parties will together fight for the cause of the people against price rise."

LALU PRASAD YADAV, Leader, RJD

There are hard lessons to be learnt from the current crisis. Economists agree that the following steps need to be taken to check sharp spikes in food prices in the future.

- A long-term vision of land and water management and irrigation infrastructure which will improve productivity of farmers.

- The Agricultural Produce Marketing Committee Act needs to be amended to cut out the huge number of people in the agricultural value chain to bring down costs and wastage.

- Drastic overhaul of the PDS system and widening of the PDS basket to bring in more items like pulses and not just rice and wheat.

- Implementation of new and pending irrigation projects to reduce dependency on rain. With global warming becoming a real threat, new irrigation measures need to be pursued on a war-footing.

- Stepping up investments in agriculture with focus on developing drought-tolerant and heat-resistant varieties.

- More scientific and efficient forecasting of food shortages and hedging in international markets to avail of prevailing prices.

These are obvious measures but there is also a need to improve wholesale price-based inflation, industrial production and employment data. Most experts believe that the late surge in the monsoon and the steps taken so far should bring down prices but the long-term solution lies in agri-investments. Says Rajendra Kothari of the Punjab Haryana Delhi Chamber of Commerce, "Population is growing, as is the demand. The production of agricultural commodities is stagnant. Since land is a finite resource, you have to increase productivity. That calls for massive financial input in irrigation, agri-culture technology and irrigation systems." With the Opposition baying for its blood over the price rise issue, the UPA Government has been forced to act, but food prices is literally a gut issue and unless it manages to bring things under control, the UPA's tenure under the so-called 'dream team' of economists could become a political nightmare.

with bureau reports

SUBIR HALDER



THE MIDDLE CLASS IS WORST HIT BY THE RISE IN PRICES OF FOOD ITEMS

ing next month. The two states account for 55 per cent of India's sugar output. The Centre is also permitting import of raw sugar by sugar mills and designated agencies at zero customs duty for a specified period. To save wilting crops, the Government has decided to divert 100 MW of power each to Punjab and Haryana for the next sowing season.

The late rainfall in most parts of India is likely to help the Rabi crop, which accounts for 40 per cent of India's agri-output, but even so, the urgency is understandable. If prices continue to rise, it will put a strain on rural households. Lower rural demand for industrial/consumer products due to reduced agricultural incomes will affect overall consumption and growth. Agriculturalists believe the main problem is that the Government is allocating more land for industrial development in free-trade zones so more farmers are selling land, leading to less cultivation of food products.